would be materially higher than presented in the fee summary.[601] For example, if a fund charges a "fulcrum fee," by which the advisory fee varies depending on the performance of the fund, the fee in the current year could be greater than the fee reflected in the fee summary.

We seek comment on the proposed fee summary formatting requirements, and specifically on the following issues:

237. Is it appropriate to limit the use of footnotes in the fee summary, as proposed? Are there circumstances where footnotes would be useful to investors that the proposed instruction would not permit?

f. New, Simplified Fee Terminology

In addition to proposing to create the fee summary, we are also proposing changes in some terminology that funds would use to describe fees in the prospectus. These changes are designed to enhance the presentation of fees and investors' understanding of these fees. The changes we are proposing in the terminology used in the fee table would flow through to the fee summary, as applicable. Plain language plays an important role in investors' ability to use and understand fund disclosures.[602] The terminology changes we propose are designed to be more consistent with everyday language and to effectively communicate the nature of the fees the fund charges. Unless otherwise discussed in this release, although we are proposing to substitute some terms that would appear in Form N-1A and funds' prospectuses, we intend the

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601 *See* proposed Instruction 1(c) to Item 3 of Form N-1A.

602 *See* Fund Investor Experience RFC, *supra* footnote 8, at Section II.C.1.

meaning of these terms to remain unchanged. Below is a chart showing captions and terms that the current fee table references, along with their replacements.[603]

Table 6

Current Caption or Term, and Form N-1A Location	Proposed Caption or Term, and Form N-1A Location
Shareholder Fees (Item 3)	Transaction Fees (Items 3 and 8A)
Annual Fund Operating Expenses (Item 3)	Ongoing Annual Fees (Items 3 and 8A)
Maximum Sales Charge (Load) Imposed on Purchases (Item 3)	Purchase Charge (Items 3 and 8A)
Maximum Deferred Sales Charge (Load) (Item 3)	Exit Charge (Items 3 and 8A)
Redemption Fee (Item 3)	Early Exit Fee (Items 3 and 8A)
Total Annual Fund Operating Expenses (Item 3)	Ongoing Annual Fees (Items 3 and 8A)
Distribution [and/or Service] (12b-1) Fees (Item 3)	Selling Fees (Item 8A)
Fee Waiver [and/or Expense Reimbursement] (Item 3)	Temporary Discount (Items 3 and 8A)
Total Annual Fund Operating Expenses After Fee Waiver [and/or Expense Reimbursement] (Item 3)	[Total] Ongoing Annual Fees with Temporary Discount (Items 3 and 8A)

We seek comment on the proposed fee terminology, and specifically on the following issues:

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603 This chart shows proposed captions or terms for the fee tables in Items 3 and 8A of proposed Form N-1A. These changes in terminology flow through to other sections of the proposed form. *See* Items 4, 12, 13, 17, 23, 26, 27A.

238. Are the proposed changes to the current terminology helpful? Are there other terms currently used in the form that could be simplified? Would our proposed changes in terminology contribute to more understandable disclosure?

g. Acquired Fund Fees and Expenses

We are also proposing to modify the current prospectus fee table requirements by refining the scope of funds that must disclose AFFE as a component of bottom-line annual fund operating expenses. Specifically, the amendments we are proposing would permit funds that invest 10% or less of their total assets in acquired funds to omit the AFFE line item in the fee table and instead disclose the amount of the fund's AFFE in a footnote to the fee table and fee summary. Funds that invest more than 10% of their total assets in acquired funds would continue to present AFFE as a line item in the prospectus fee table and include AFFE in the bottom-line expense figure, as they do today.

Currently, any fund that invests in acquired funds—which include investments in other investment companies and in private funds that would be investment companies but for sections 3(c)(1) or 3(c)(7) of the Investment Company Act—must disclose the amount of fees and expenses the fund indirectly incurs from these investments in the fund's fee table.[604] This disclosure generally appears as a separate AFFE line item in the fee table, although a fund

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[604] The AFFE amount is composed of the following types of fees and expenses attributable to the fund's investment in acquired funds over the relevant period: each acquired fund's total annual operating expense ratio, any transaction fees the fund paid to acquire or dispose of shares in any acquired fund (*e.g.*, sales loads or redemption fees), and incentive allocations where the fund allocates capital to the adviser of the acquired fund (or its affiliate) based on a percentage of the fund's income, capital gains, and/or appreciation in the acquired fund. Form N-1A provides calculation instructions for determining the AFFE amount. *See* Instruction 3(f) to Item 3 of current Form N-1A.

may reflect AFFE in the "other expenses" fee table line item (without separately identifying the AFFE amount) if AFFE does not exceed 0.01 percent, or one basis point, of the fund's average net assets.[605] As a result, regardless of the size of a fund's investments in acquired funds, AFFE currently is a component of the line items that, summed together, produce the fund's bottom-line annual fund operating expenses (which we propose to rename to "total ongoing annual fees") in its fee table. AFFE disclosure is designed to provide investors with a better understanding of the costs of investing in a fund that invests in other funds, which have their own expenses that may be as high as—or higher than—the acquiring fund's expenses.[606] As recognized above, AFFE is a performance expense that is not an operating cost reflected in a fund's statement of operations. Instead, it is an indirect expense paid by the fund to generate performance.[607]

Some commenters on the Fund Investor Experience RFC and on the Commission's 2018 proposal related to fund of funds arrangements have expressed certain concerns about current AFFE disclosure requirements.[608] For example, several commenters have suggested that fee table disclosure should focus on a fund's operating expenses and should not incorporate AFFE.[609] Some of these commenters have expressed concern that combining

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605 See id.

606 *See* Fund of Funds Investments, Investment Company Act Release No. 27399 (June 20, 2006) [71 FR 36640 (June 27, 2006)], at text accompanying n.67.

607 *See supra* Section II.H.1.c.

608 *See* Fund of Funds Arrangements, Investment Company Act Release No. 33329 (Dec. 19, 2018) [84 FR 1286 (Feb. 1, 2019)] ("Fund of Funds Proposing Release"), at nn.176-179 and accompanying text. Comments on the Fund of Funds Proposing Release cited in this release are available at https://www.sec.gov/comments/s7-27-18/s72718.htm.

609 *See, e.g.*, Comment Letter of Investment Company Institute (Apr. 30, 2019) on File No. S7-27-18; Comment Letter of PIMCO (May 1, 2019) on File No. S7-27-18; Comment Letter of

operating expenses with indirect AFFE costs may confuse investors by over-emphasizing AFFE costs and that combining expenses in this way does not align with a fund's financial statements.[610] Several commenters have also expressed particular concern about treating BDCs as acquired fund investments and have recommended excluding BDC investments from AFFE.[611] One of these commenters suggested that the Commission remove AFFE from the prospectus fee table and require funds to disclose AFFE amounts in an accompanying footnote to address these concerns.[612] On the other hand, other commenters have expressed general support for AFFE disclosure.[613] Two commenters stated that AFFE disclosure provides investors with necessary information to understand the layering of fees in a fund of funds arrangement and to compare similar funds.[614]

Invesco Ltd. (Apr. 30, 2019) on File No. S7-27-18 ("Invesco Fund of Funds Comment Letter"); Comment Letter of Chapman and Cutler LLP (May 2, 2019) on File No. S7-27-18 ("Chapman and Cutler Fund of Funds Comment Letter"); Comment Letter of SIFMA Asset Management Group (May 2, 2019) on File No. S7-27-18.

610 *See, e.g.*, Chapman and Cutler Fund of Funds Comment Letter; Invesco Fund of Funds Comment Letter.

611 *See, e.g.*, Comment Letter of Small Business Investor Alliance (Apr. 30, 2019) on File No. S7-27-18 (stating that AFFE disclosure distorts an acquiring fund's expense ratio and has disproportionately harmed BDCs because this disclosure requirement has led to funds no longer investing in BDCs and several index providers dropping BDCs from their indexes); Comment Letter of TPG Specialty Lending, Inc. (May 2, 2019) on File No. S7-27-18; Comment Letter of Coalition for Business Development (May 2, 2019) on File No. S7-27-18; Comment Letter of Alternative Credit Council (May 2, 2019) on File No. S7-27-18 (stating that AFFE disclosure overstates the costs of a fund investing in a BDC because it essentially requires double-counting of a BDC's operating expenses and that because AFFE disclosure has effectively resulted in funds no longer investing in BDCs, it has restricted the market for BDCs, limited institutional ownership of BDCs, and reduced investor choice); ICI Comment Letter I.

612 *See* Comment Letter of Dechert LLP (May 2, 2019) on File No. S7-27-18.

613 *See, e.g.*, Comment Letter of Anonymous (Dec. 28, 2018) on File No. S7-27-18; Comment Letter of Kauff Laton Miller LLP (May 13, 2019) on File No. S7-27-18 ("Kauff Laton Fund of Funds Comment Letter"); Comment Letter of Law Office of William Coudert Rand on File No. S7-27-18 (May 14, 2019) ("Rand Fund of Funds Comment Letter").

614 *See* Kauff Laton Fund of Funds Comment Letter; Rand Fund of Funds Comment Letter.